gives further incentive to learn to live well for less, allowing you to pay little or no tax on investment income.

To this point, we’ve focused on the advantages of investing in tax-deferred vehicles. Tax-deferred accounts allow you to defer income in the year it is earned, allow investments to grow without taxation, then pay taxes when the money is taken from the account. Tax-deferred saving is advantageous for those pursuing FI, particularly if you anticipate being in a lower marginal tax bracket when you will need this money.

But there are advantages to Roth accounts as well. Roth accounts require you to pay tax in the year money is earned. Investments in these accounts then grow tax-free forever and are withdrawn without further taxation.

After filling up tax-deferred savings options, such as work-sponsored retirement accounts and health savings accounts, those saving a lot of money in a given year still have the opportunity to utilize a Roth IRA. Low-wage earners paying little or no income tax may benefit by using a Roth IRA rather than tax-deferred accounts. A Roth IRA allows you to contribute after-tax dollars. That money then grows forever without annual taxation of dividends, interest, or capital gains. Withdrawals are tax-free after age 59 and a half. An